

IRA Checklist — Answered

InsurTech | Botim x Chubb Digital Partners | UAE | Phase I | Opt-In Model

1. Business Sponsor Checklist

Submission Basics

One-page summary: what, why, who, when, jurisdictions, dependencies?
What: Opt-in embedded micro-insurance products distributed in-path of Botim's remittance and CashNow transaction journeys. Products are Remittance Protect (personal accident and cyber) and Loan Protect (death and permanent disability covering the outstanding loan balance). Users activate coverage via a dedicated toggle button — no charge unless the user explicitly opts in. Why: AED 7.2M annual gross premium under the opt-in model across Remittance Protect and Loan Protect, generating AED 3.6M Botim revenue in Year 1 under a 50/50 revenue share with Chubb Digital Partners. 79% of low-income migrant workers in UAE are uninsured despite 43% viewing insurance as important — the product directly addresses their primary fears of inability to support family and sudden income loss. Who: Botim's blue-collar migrant workforce — 3.2 million breadwinner workers remitting to India, Pakistan, Philippines, and Africa. CashNow borrowers (130k monthly, avg AED 2,000). When: Phase I following co-creation workshop with Chubb, contract execution with Chubb and the appointed CBUAE-licensed regional insurance partner, and Chubb Studio API integration. Phase II to include Bill Protection and Botim Card Programs. Jurisdictions: UAE only for Phase I. Dependencies: Distribution agreement with Chubb (indicative quotation valid 60 days), appointment of a CBUAE-licensed regional insurance partner (currently under evaluation), claims process agreement, volume confirmation, and Chubb Studio API integration. Supporting materials: Strategic Rationale deck attached.

Relevant function appendices completed?
Product and pricing detail is covered by the Chubb quotation and Digital Insurance Memo. Compliance, Cybersecurity, Legal, Risk, and Finance appendices to be populated before IRA submission.

Supporting materials attached?
Strategic Rationale deck attached. Distribution agreement and claims process documentation to be attached upon execution.

Risk Identification

Customer impact: who is affected, how many, and what is the worst-case harm?
Affected users are those who actively opt in across Botim's remittance base (1.2M monthly transactions) and CashNow (130k monthly). At modelled 5% conversion rates, approximately 60,000 remittance users and 6,500 CashNow borrowers would be active policyholders at any point. Under the opt-in model, no user is charged without making an active selection via the toggle. Worst-case harm is a user who misunderstands the coverage terms at the point of opt-in — for example, expecting a social engineering claim to be paid but falling outside policy exclusions. Clear pre-sale disclosure of what is and is not covered, in the user's native language, mitigates this directly.

Regulatory permissions: do we hold the required licenses in every jurisdiction in scope?

The structure involves three parties: Chubb Digital Partners as reinsurer, a CBUAE-licensed regional insurance partner (to be appointed) as the fronting insurer holding the UAE licence, and Botim as the distribution channel. The fronting insurer takes regulatory responsibility for the distribution channel they appoint.

Whether Botim additionally requires a formal appointment as a distribution agent under the fronting insurer's licence, or a separate CBUAE no-objection under Federal Decree-Law No. 6 of 2025, requires formal UAE legal confirmation before launch. The 2025 law extended CBUAE oversight to technology platforms facilitating insurance distribution and post-dates the global precedents from comparable Chubb partner deployments.

Data: what personal or sensitive data is involved, where does it flow, who can access it?

At opt-in: insured personal details (name, DOB, gender) for all products; loan details (amount, tenure) for lending products; nominee details (name, DOB, gender, relation) for accidental death products; employment details for income protection.

Data flow: collected in-app at point of opt-in, transmitted to Chubb via the Chubb Studio API for policy issuance. Chubb holds data for the policy lifecycle and claims. The fronting regional insurer's data access requirements to be confirmed during partner appointment.

Access: Botim engineering (integration layer only), Chubb Digital Partners (policy issuance, claims management, analytics). Fronting insurer access to be defined.

Third parties: new vendors or processors? Have they been onboarded through TPM?

Two new third parties: (1) Chubb Digital Partners as reinsurer and technology platform. Chubb is the world's largest general insurer by assets (US\$230B, AA/A++), with 200+ digital distribution partnerships and a proven enterprise API platform handling 1 billion+ interactions and 15M+ monthly digital claims. (2) A CBUAE-licensed regional insurance partner to be appointed as fronting insurer — identity to be confirmed.

TPRM onboarding and G42 Corestream approval for both Chubb and the appointed fronting insurer to be completed before integration begins.

Reversibility: if this goes wrong, can we roll it back? How quickly?

The opt-in toggle and Chubb Studio API calls can be disabled within a single release cycle without affecting core remittance or lending journeys. Active policyholders retain coverage until expiry, honoured by the fronting insurer and Chubb under their respective licences. Rollback obligations — customer notifications, data handling, contract notice periods — to be defined in the distribution agreement.

Financial crime: any new AML, sanctions, or fraud vectors introduced?

Two vectors to assess. First, insurance premiums are a new transaction type; existing AML monitoring parameters to be reviewed at expected opt-in volumes.

Second, the social engineering and account takeover products create a fraud-claims vector. Controls to be defined in the claims process agreement: maximum one social engineering claim per user per 90 days, mandatory 14-day reporting window for account takeover claims per Chubb quotation terms.

AML risk is low: only KYC-verified users who have actively opted in generate premium transactions.

Operational resilience: what breaks if this fails? What is the BCP?

If the Chubb Studio API is unavailable, the opt-in toggle is suppressed and the underlying transaction completes normally — no premium charged, no policy issued. Core user journey is unaffected.

Claims resilience: user submits high-level documents and information to Botim's frontend, which passes to Chubb. If Chubb's claims interface is unavailable, Botim holds submissions in queue until service is restored. RTO and RPO targets to be agreed with Chubb and included in the distribution agreement SLA.

Conduct: could this be perceived as misleading, unfair, or harmful to vulnerable customers?

The opt-in model substantially reduces conduct risk — no user is charged without actively pressing the toggle. Residual risk is that users misunderstand coverage scope before opting in.

Best-practice UX from Chubb's Nubank FinPro and Techcombank deployments to be adopted: clear coverage summary, transparent pricing shown before confirmation, Learn More link, and a post-purchase policy confirmation screen.

Multi-language disclosures (Arabic, Tagalog, Urdu, Hindi) and plain-language exclusions summary to be prepared before launch. Botim Protect branding recommended over insurance terminology to reduce adoption friction with the target segment.

2. Compliance Checklist

Licensing: which existing UAE licence does this IRA fall under?

The CBUAE-licensed regional insurance partner (fronting insurer, to be appointed) holds the UAE insurance licence and takes regulatory responsibility for the distribution arrangement. Chubb acts as reinsurer behind the fronting insurer. Botim's existing payment and remittance licence covers the transaction infrastructure.

Whether Botim's distribution role requires formal appointment as an agent under the fronting insurer's licence, or a separate CBUAE no-objection under Federal Decree-Law No. 6 of 2025, requires UAE legal confirmation before launch.

Regulatory permissions: does this IRA require approvals or notifications?

The opt-in model is the more straightforward regulatory position — users make an active, informed choice to purchase from a licensed insurer. Appointment of the fronting insurer must be formalised before any product is offered to users.

Proactive CBUAE engagement before launch is recommended. Chubb can support this through their established UAE regulatory relationships via the fronting insurer.

Target customers: appropriate, affordable, suitable? Vulnerable Customer risk?

The product directly addresses the segment's stated needs: 79% of low-income migrant workers in UAE are uninsured, with inability to support family (35%) as their top fear. Pricing is micro-premium — AED 3 for 30-day Remittance Protect, loan protection at 1–1.8% of loan value.

Under opt-in, suitability risk is lower because the user has chosen the product. Vulnerable Customer safeguards: multi-language product summaries, clear exclusions at point of opt-in, and a straightforward cancellation process.

Consumer protection: CPR-compliant? KFS and disclosures in place?

Chubb CDP wireframes show Botim-specific opt-in screens with coverage summary, pricing transparency, Learn More links, and post-transaction policy confirmation — consistent with CBUAE Consumer Protection Regulation requirements.

UAE-specific Key Facts Statements and Arabic-language disclosures to be drafted with Chubb and the fronting insurer during the co-creation workshop, reviewed by Compliance before launch.

Conduct risk: do promotions and sales activities follow regulatory guidelines?

No outbound sales. The product is presented only in-path of a transaction the user has already initiated, activated only by user toggle. All in-app messaging to be reviewed by Compliance against CBUAE Financial Promotion Rules before launch. Customer Support to be trained before go-live.

Customer data: are data obligations in place?

Personal data transmitted to Chubb via Chubb Studio API for policy issuance and claims only. The fronting insurer's data access requirements to be confirmed on appointment. DPA with Chubb to be executed before any data flows. Botim privacy notice to be updated to cover the insurance distribution activity.

G42 requirements: have they been considered?

Chubb Digital Partners and the appointed fronting insurer are both new vendors. G42 Corestream approval submissions required for both before integration begins. Given Chubb's Tier 1 regulated status and AA credit rating, the Chubb assessment is expected to be straightforward. Fronting insurer assessment to follow appointment.

AML / CFT: new FCC risks? Volume and velocity limits?

Opt-in volumes limit aggregate AML exposure — expected active policyholders at launch approximately 66,500 across both products at 5% conversion, all KYC-verified.

Fraud controls for claims: maximum one social engineering claim per user per 90 days; 14-day mandatory reporting window for account takeover claims per Chubb quotation. Transaction monitoring parameters to be reviewed for the new premium transaction type.

3. Cybersecurity Checklist

Data classification: what data types are involved?

PII (name, DOB, gender) for all insured users and nominees. Financial data (loan amount, tenure, transaction value) for lending products. Sensitive personal data (nominee relationship, employment details for income protection). No biometrics, payment card data, or government ID numbers collected at the insurance layer.

Data flow: creation, transmission, storage, deletion — including cross-border?

Data created in-app in UAE at point of opt-in. Transmitted to Chubb via Chubb Studio API for policy issuance. Held by Chubb for policy lifecycle and claims. The fronting insurer's data access and storage requirements to be confirmed on appointment. Chubb operates across 54 countries; data residency for UAE customer data to be confirmed in the DPA.

Access controls: who needs access and is least privilege enforced?

Botim side: API-level access for engineering during build; standard application access thereafter. Chubb side: access limited to policy issuance, claims, and analytics functions under Chubb's enterprise access controls. Fronting insurer access to be defined on appointment. Least privilege and role-based controls to be confirmed in vendor security assessments.

Authentication: MFA / SSO / PAM in place?

Botim's existing MFA applies to the app. Chubb Studio API uses OAuth 2.0 or mutual TLS for the integration channel — to be confirmed in the integration spec. Fronting insurer authentication requirements to be defined on appointment.

Encryption: data encrypted at rest and in transit?

Data in transit via Chubb Studio API encrypted using TLS 1.2 or higher. Encryption at rest for Botim customer data held by Chubb and the fronting insurer to be confirmed in respective DPAs.

Third-party security: certifications and assessments for Chubb and fronting insurer?

Chubb: Tier 1 regulated insurer with enterprise-grade security across 240+ global partnerships. ISO 27001 and SOC 2 Type II to be formally requested and verified via TPRM.

Fronting insurer: security assessment and certifications to be completed as part of TPRM onboarding following appointment.

Resilience: impact if system goes down? RTO / RPO defined?

Chubb Studio API outage: opt-in toggle suppressed, transaction completes normally, no charge. Chubb claims platform outage: Botim holds claim submissions in queue until restored. RTO and RPO targets to be agreed with Chubb in distribution agreement SLA.

Privacy by design: data minimisation, purpose limitation, retention?

Data fields scoped to minimum required for issuance per product appendices. Data used only for insurance purposes. Retention periods to be defined in DPAs with Chubb and fronting insurer, aligned with UAE data protection law.

Logging and monitoring: SIEM coverage and anomaly detection?

Chubb Studio API integration covered by Botim's existing SIEM as a new monitored endpoint. Anomaly detection rules to be updated before launch for unusual opt-in volumes, claim submission spikes, and data transfer anomalies.

Change management: standard change controls?

Yes. UI additions to transaction journeys and new Chubb Studio API endpoints follow Astra's standard change management and release process. No exceptions required.

4. Legal Checklist

Legal basis and structure: new product structure or entity involvement?

Three-party structure: Botim distributes (toggle-based opt-in, premium collection, first-line claims intake), the CBUAE-licensed regional insurance partner (fronting insurer, to be appointed) issues policies under its UAE licence, and Chubb Digital Partners acts as reinsurer providing product construction, technology via Chubb Studio, and claims management.

Botim earns a 50/50 revenue share with Chubb on premiums collected. No new Botim entity required. Botim's distribution role under UAE law to be confirmed by legal counsel.

Corporate authority: board, committee, or delegated authority approvals required?

Given the introduction of a new product category and AED 3.6M Year 1 Botim revenue share, the appropriate approval level under Astra's delegation of authority matrix to be confirmed — likely ExCo at minimum.

Contracts: new agreements required?

Required before launch: (1) Distribution or MOU agreement with Chubb Digital Partners — currently an MOU is in place; binding distribution agreement to follow, covering 50/50 revenue share, product T&Cs, API terms, and exit provisions. (2) Tripartite or bilateral agreements with the appointed fronting insurer covering policy issuance obligations, data sharing, and regulatory responsibilities. (3) Data Processing Agreement with Chubb. (4) Customer-facing T&Cs, Key Facts Statements, and opt-in consent language per product.

Existing contractual restrictions: obligations under existing agreements?

Botim's existing agreements with payment partners, wallet providers, and G42 / Astra Tech to be reviewed by Legal for change-of-scope provisions, exclusivity clauses, or new product distribution restrictions.

Customer terms: legally enforceable and properly incorporated?

Chubb CDP wireframes include opt-in consent language, product summary, and policy confirmation screens based on Chubb's legally reviewed partner templates. UAE-specific T&Cs, KFS, and Arabic disclosures to be drafted with Chubb and the fronting insurer during the co-creation workshop and reviewed by Legal before launch.

Liability and indemnities: who bears risk?

The fronting insurer bears primary underwriting risk as the licensed policy issuer. Chubb reinsures the fronting insurer. The distribution agreement to confirm: indemnification of Botim for claims arising from underwriting and policy decisions; liability allocation for data breaches during API transmission; regulatory enforcement allocation between Botim, Chubb, and the fronting insurer.

Intellectual property: third-party IP and branding appropriately licensed?

Chubb branding in Botim product wireframes to be formally licensed in the distribution agreement. The fronting insurer's branding requirements to be agreed on appointment. Ownership of jointly developed product wording and UI to be agreed during co-creation workshop.

Data protection: DPAs, privacy notices, and transfer mechanisms?

DPA with Chubb to be executed before any data is transmitted. DPA or data sharing agreement with the fronting insurer to be executed on appointment. Botim privacy notice to be updated. Cross-border transfer mechanism to be assessed given Chubb's global operations.

Outsourcing: aligned with CBUAE outsourcing requirements?

The engagement has characteristics of regulated outsourcing — customer data transmitted to third parties, third-party infrastructure embedded in Botim's regulated payment flows, and reliance on Chubb and the fronting insurer for regulated activities affecting customers. A Materiality Assessment is required. If Material, Board and CBUAE approval are required before launch — a potential critical path item to be initiated immediately.

Cross-border legal issues: governing law, jurisdiction, enforceability?

Products are UAE-only in Phase I. Distribution agreement to specify UAE governing law and appropriate dispute resolution forum. The fronting insurer holds the CBUAE licence and contracts with Botim for UAE policy issuance. Chubb's reinsurance arrangement with the fronting insurer is a separate bilateral agreement.

Employment and people: training or staffing changes?

No new headcount. Customer Support to be trained on product features, claims intake process (collecting and passing documents to Chubb), opt-in and cancellation, and complaint handling before launch.

Corporate structure and tax: entity or tax implications?

No entity changes. Revenue share income to be assessed under UAE corporate tax by Astra's tax function. Transfer pricing considerations if the agreement crosses entities in different jurisdictions to be reviewed.

Disputes and litigation: relevant litigation or regulatory correspondence?

No existing disputes, regulatory correspondence, or adverse regulatory history relevant to this initiative.

Sanctions and export controls: restricted countries or counterparties?

Remittance corridors — India, Pakistan, Philippines, and Africa — are not sanctions-restricted. Specific African sub-corridors to be confirmed by FCC. Chubb Limited is Swiss-incorporated and NYSE-listed — no sanctions concerns identified. Fronting insurer sanctions position to be confirmed on appointment.

Insurance: covered under existing Astra policies?

Existing professional indemnity and E&O policies to be reviewed to confirm coverage extends to insurance distribution activities. Supplementary endorsement to be obtained if required.

Legal launch conditions: conditions precedent?

The following must be satisfied before launch: (1) Binding distribution agreement with Chubb signed; (2) Fronting insurer appointed and relevant agreements executed; (3) Claims process formally agreed and documented; (4) Volume confirmation provided to Chubb within 60-day quotation validity; (5) DPAs executed with Chubb and fronting insurer; (6) Customer-facing opt-in documentation drafted, translated, and approved; (7) CBUAE licensing position confirmed by UAE legal counsel; (8) G42 Corestream

approvals obtained for both Chubb and fronting insurer; (9) Outsourcing Materiality Assessment completed and, if material, Board and CBUAE approvals obtained.

5. Risk Checklist

Risk appetite: does this fit within stated limits?

Low risk profile: no direct underwriting exposure (borne by fronting insurer, reinsured by Chubb), no credit exposure, no balance sheet obligation. Primary risks are operational (API integration, claims intake), regulatory (distribution licence confirmation, fronting insurer appointment), and conduct (clarity at opt-in). All within the expected profile for a distribution-only initiative. Formal mapping against Astra's risk appetite statement to be completed by Risk.

Credit risk: new credit exposure?

None. Underwriting risk borne by the fronting insurer and reinsured by Chubb. Botim's revenue is earned on premiums collected from opted-in users, not on claims outcomes.

Market risk: FX, interest rate, or asset price exposure?

None. Premiums and revenue share denominated in AED.

Liquidity risk: impact on funding or liquidity coverage?

None. Botim holds no insurance reserves. All claims liquidity obligations are borne by the fronting insurer and Chubb.

Operational risk: new processes, systems, or handoffs?

New operational touchpoints: Chubb Studio API call at opt-in for policy issuance; personal data transmission to Chubb; post-transaction policy confirmation and beneficiary nomination; Botim-side claims intake (collecting high-level documents and information) followed by handoff to Chubb for processing and settlement.

Key failure modes mitigated: API unavailability suppresses toggle gracefully; Chubb Studio retry logic handles transmission errors; claims queue holds submissions during Chubb platform outage.

Full claims process to be documented and agreed with Chubb and the fronting insurer before launch.

Model risk: new models deployed or existing ones changed?

None. All pricing and underwriting models owned and validated by Chubb and the fronting insurer. No Botim models are changed.

Concentration risk: dependency on a single vendor or segment?

Phase I depends on both Chubb and the yet-to-be-appointed fronting insurer. Chubb's financial strength (AA/A++, US\$230B assets) substantially mitigates reinsurer risk. The fronting insurer concentration risk is higher given the partner has not yet been selected — a backup fronting insurer should be identified during the appointment process.

Reputational risk: worst-case headline?

Under opt-in, primary risk is 'users who opted in had claims rejected at high rates' rather than 'users charged without consent.' Most acute for social engineering coverage where exclusions may not be well understood at point of opt-in.

Mitigant: plain-language coverage and exclusions summary at opt-in, multi-language disclosures, and Chubb's UX testing capability to validate comprehension before full rollout.

Strategic risk: alignment and cost of not doing it?

Fully aligned with Botim's strategy to expand ARPU and deepen user trust. The Chubb CDP phased approach covers Botim Finance, Botim Connect, and Botim Money for Business — making this a foundational long-term partnership.

Year 1 Botim revenue share under opt-in is AED 3.6M at 5% conversion, growing as user familiarity increases and Chubb's optimisation capability is applied. The Chubb quotation is valid for 60 days — delay risks repricing.

Third-party risk: dependencies mapped? Exit plan?

Two critical dependencies: Chubb Digital Partners (reinsurer and technology) and the fronting insurer (UAE licence holder). Exit provisions in agreements to include: 90-day minimum notice, Chubb and fronting insurer to continue coverage for active policyholders to expiry, data return and deletion obligations, and transition assistance period.

Fronting insurer exit is the higher risk — if the appointed partner exits, a replacement must be found before any new policies can be issued. A backup fronting insurer should be identified and kept warm.

KRIs and limits: post-launch metrics and escalation thresholds?

Chubb provides a post-launch analytics dashboard with regular reporting. Proposed KRIs: (1) Opt-in conversion rate — review if below 2% in first 60 days; (2) Claims ratio — escalate if claims exceed 80% of premium collected; (3) Customer complaints related to insurance — escalate if above 0.1% of opted-in users; (4) Policy cancellation in first 7 days — escalate if above 20%; (5) Claims processing time — escalate if Chubb settlement exceeds agreed SLA; (6) API uptime — escalate if below 99.5%.

Stress and scenario testing: adverse scenarios modelled?

Base case: AED 7.2M annual gross premium at 5% blended conversion, AED 3.6M Botim share. Three adverse scenarios: (1) Conversion at 2% — gross premium falls to approximately AED 2.9M, Botim share AED 1.45M; commercially viable but changes payback period. (2) Claims frequency 2x expected — fronting insurer and Chubb bear the cost with no Botim balance sheet impact, but Chubb may reprice premiums at contract renewal. (3) Fronting insurer withdrawing — new policies cannot be issued until a replacement is appointed, estimated 2–3 months; active policies continue to expiry under existing arrangements.

Aggregate impact: pushes any aggregate risk metric outside appetite?

No balance sheet risk, no credit exposure, no liquidity impact. Operational risk is bounded by the graceful failure design of the API integration and the claims queue mechanism. Confirmation from Risk required once the full in-flight IRA pipeline is reviewed.

Outsourcing: deemed outsourcing? Materiality Assessment completed?

The engagement has characteristics of regulated outsourcing: customer data transmitted to Chubb and the fronting insurer, third-party infrastructure embedded in Botim's regulated payment flows, and Botim relying on both parties for regulated activities affecting customers.

A Materiality Assessment is required. The three-party structure (Botim distributes, fronting insurer issues, Chubb reinsures) is a standard model used across global regulated markets by Chubb's partners — the expected outcome is non-material, but this must be formally confirmed. The assessment should be initiated immediately as it is a potential critical path item. If Material, Board and CBUAE approval are required before launch.